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24STCV29478

Willie Winston v. Allstate Insurance Company

Tuesday,

June 30, 2026

[TENTATIVE]

ORDER OVERRULING

DEMURRER TO SECOND AMENDED COMPLAINT

[TENTATIVE]

ORDER DENYING MOTION TO STRIKE PORTIONS OF PLAINTIFF'S SECOND AMENDED COMPLAINT

I.

BACKGROUND

The second

amended complaint ("SAC") alleges that Plaintiff suffered property damage and made a claim with Defendant, Plaintiff's insurer. Allstate Insurance Company allegedly promised to pay for the replacement and repair cost for the damage. Plaintiff alleges Defendant intentionally undervalued and underpaid the claim. The second amended complaint alleges claims for (1) breach of contract, (2) fraud, and (3) breach of the implied duty of good faith and fair dealing ("bad faith."). Plaintiff seeks recovery of punitive damages.

Defendant

demurs to the entire SAC on grounds it is barred by the statute of limitations.

Defendant demurs to the second and third causes of action for failure to state

facts to support the elements of each claim. Defendant separately moves to strike the claim for punitive damages.

The

Court has considered the motions, oppositions, and replies to both motions and the requests for judicial notice.

II.

LEGAL STANDARDS

A demurrer tests the sufficiency of a complaint as a matter of law and raises only questions of law. (Schmidt v. Foundation Health (1995) 35 Cal.App.4th 1702, 1706.) In testing the complaint's sufficiency, the court must assume the truth of the properly pleaded factual allegations as well as facts that can be reasonably inferred from those expressly pleaded facts. The court may also consider matters properly subject to judicial notice. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

The court may not consider contentions, deductions, or conclusions of fact or law. (Moore v. Conliffe (1994) 7 Cal.4th 634, 638.) Plaintiff is required to allege facts sufficient to establish every element of each cause of action. (Rakestraw v. California Physicians Service (2000) 81 Cal.App.4th 39, 43.) Where the complaint fails to state facts sufficient to constitute a cause of action, courts should sustain the demurrer. Code Civ. Proc., § 430.10(e); (Zelig v. County of Los Angeles (2002) 27 Cal.4th 1112, 1126.)

Sufficient facts are the essential facts of the case "with reasonable precision and with particularity that is sufficiently specific to acquaint the defendant with the nature, source, and extent of his cause of action." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 643-644.) Whether the Plaintiff will be able to prove the pleaded facts is irrelevant. (Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609-610.)

A demurrer may also be sustained if a complaint is "uncertain." Uncertainty exists where a complaint's factual allegations are so confusing, they do not sufficiently apprise a defendant of the issues it is being asked to meet. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2; Code Civ. Proc., § 430.10(f).)

A pleading is required to assert general allegations of ultimate fact. Evidentiary facts are not required. (Quelimane Co. v. Stewart Title Guaranty Co. (1998) 19 Cal. 4th 26, 47; Lim v. The.TV Corp. Internat. (2002) 99 Cal. App. 4th 684, 690.)

III.

DISCUSSION

A.

Demurrer

to the fraud claim is OVERRULED.

This claim is based on affirmative misrepresentations. A claim for fraud requires facts to support the following elements: (1) a misrepresentation, (2) made with knowledge of its falsity, (3) Defendant intended to defraud Plaintiff, i.e., induce Plaintiff's reliance, (4) Plaintiff justifiably relied on the misrepresentation, (5) causing damage. (Nagy v. Nagy (1989) 210 Cal.App.3d 1262, 1268.)

Fraud

claims are subject to strict requirements of particularity in pleading. (Id.)

The particularity requirements necessitate pleading facts showing "how, when, where, to whom, and by what means the representations were tendered." (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73.) The

requirement "applies not only to the alleged misrepresentation, but also to the elements of causation and damage." (Moncada v. West Coast Quartz Corp. (2013) 221 Cal.App.4th 768, 776.)

Where fraud is alleged against a corporation, the pleading standards are even greater. Plaintiff must allege "the names of the persons who made the allegedly fraudulent representations,

their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written." (Lazar v. Superior Court (1996) 12 Cal. 4th 631, 645.)

This claim is adequately alleged with specificity. The alleged misrepresentations were made between February 17, 2022, and February 23, 2022, and consist of the written estimates, replacement costs, and other items given. Plaintiff attaches all the written estimates. Plaintiff describes precisely how the representations were false namely that the actual losses exceeded the estimates. (SAC Att. FR-2b.) Plaintiff relied on the misrepresentations and paid premiums, costs, and repairs. (Id. Att. FR-5) Plaintiff suffered damages. (Id. Att. FR-6.)

B.

Demurrer

to the third cause of action for breach of the implied duty of good faith and fair dealing (bad faith) is OVERRULED.

The prerequisite for any action for breach of the implied covenant of good faith and fair dealing is the existence of a contractual relationship between the parties, since the covenant is an implied term in the contract." (Smith v. City and County of San Francisco (1990) 225 Cal.App.3d 38, 49.) Plaintiff can recover in tort on a contract claim in limited circumstances: "where a breach of duty directly causes physical injury [citation]; for breach of the covenant of good faith and fair dealing in insurance contracts [citation]; for wrongful discharge in violation of fundamental public policy [citation]; or where the contract was fraudulently induced." (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 989–990.)

Plaintiff

has adequately alleged the existence of a contract as well as that the benefits due under the policy were wrongfully withheld, consisting of low estimates in relation to the loss suffered. (Love v. Fire Ins. Exchange (1990) 221 Cal.App.3d 1136, 1151.)

Defendant

argues that Plaintiff incorrectly alleges that the third-party public adjusters were Defendant's agents which were not as shown by the attachments. This is not

fatal to the claim, which depends on the factual elements as discussed.

Defendant

argues that Plaintiff has not alleged an independent duty on which the tort claim can be based. There is an exception for insurance contracts. (*Chu v. Old Republic Home Protection Co., Inc.* (2021) 60 Cal.App.5th

346, 354 ["Because

the covenant of good faith and fair dealing essentially is a contract term that aims to effectuate the contractual intentions of the parties, 'compensation for its breach has almost always been limited to contract rather than tort

remedies.' [Citations.] This court

recognizes only one exception to that general rule: tort remedies are available for a breach of the covenant in cases involving insurance policies.

[Citations.] In the insurance policy setting, an insured may recover damages not otherwise available in a contract action, such as emotional distress damages resulting from the insurer's bad faith conduct [citation] and punitive damages if there has been oppression, fraud, or malice by the insurer [citation].".)

As

noted, the fraud claim is adequately alleged.

C.

Defendant

has not shown that the claims are barred by the statute of limitations.

Defendant

argues the action should have commenced 12 months after the inception of the loss. (Ins.

Code, § 2071 ["No

suit or action on this policy for the recovery of any claim shall be

sustainable in any court of law or equity unless all the requirements of this

policy shall have been complied with, and unless commenced within 12 months next after inception of the loss."].)

The

purpose of the shortened limitations period under Ins. Code § 2071 is to "relieve

insurance companies of the burden imposed by defending old, stale claims." (*Aliberti v. Allstate Ins. Co.*

(1999) 74 Cal.App.4th 138, 145.)

Plaintiff is not suing for action on the policy; Plaintiff is alleging separate

claims arising from breach of contract, fraud, and breach of the implied covenant of good faith and fair dealing.

The

statute of limitations for a fraud claim is three years. (Code Civ. Proc., § 338.). (Code Civ. Proc., § 337.) While Plaintiff alleges the dates when the misrepresentations were made, the statute of limitations on fraud claims "is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake." (Code Civ. Proc., § 338 (d).) The dates of the estimates on which Plaintiff relied are not the dates of accrual.

In order

for the court to sustain demurrer to the complaint based on a statute of limitations defect, "the defect must clearly and affirmatively appear on the face of the complaint. A demurrer will not lie where the action may be but is not necessarily barred." (Citizens for a Responsible Caltrans Decision v. Department of Transportation (2020) 46 Cal.App.5th 1103, 1117; Marshall v. Gibson, Dunn & Crutcher (1995) 37 Cal.App.4th 1397, 1398.)

D.

Defendant's

motion to strike punitive damage allegations

A plaintiff may recover on a claim for exemplary damages where the defendant is guilty of oppression, fraud, or malice. (Civ. Code, § 3294 subd. (a).) The predicate acts to support the claim must be intended to cause injury or must constitute "malicious" or "oppressive" conduct as defined by statute. "Malice" is defined as "conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." (Civ. Code, § 3294 subd. (c)(1); College Hospital Inc. v. Superior Court (1994) 8 Cal.4th 704, 725 ["malice involves awareness of dangerous consequences and a willful and deliberate failure to avoid them"].) "Oppression" is defined as "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civ.

Code, § 3294 subd. (a)

subd. (c)(2).)

Absent an intent to injure the plaintiff,

'malice' requires more than a 'willful and conscious' disregard of the plaintiffs' interests. The conduct must be "despicable" which is a "powerful term that refers to circumstances that are 'base,' 'vile,' or 'contemptible.'"

(College

Hospital Inc. v. Superior Court

(1994) 8 Cal.4th 704, 725.)

The fraud claim adequately provides

predicate facts on which punitive damages can be recovered.

IV.

CONCLUSION

Accordingly, the demurrer is OVERRULED. The

motion to strike is DENIED. Defendant is ordered to file an answer within 20 days.